

Introduction to Business

Legal Environment

Module Learning Outcomes

Summarize the role of the legal system in governing and shaping the climate for business

- 5.1: Explain the meaning and purpose of law
- 5.2: Differentiate between statutory and common law
- 5.3: Define tort law, and explain the role of product liability in tort law
- 5.4: Explain the purpose and characteristics of intellectual property law
- 5.5: Describe warranties
- 5.6: List and describe the elements of a legally enforceable contract, and explain the consequences of breach of contract
- 5.7: Summarize consumer protection and antitrust laws

The Meaning and Purpose of Law

Learning Outcomes: The Meaning and Purpose of Law

5.1: Explain the meaning and purpose of law

- 5.1.1: Define law
- 5.1.2: Explain the purposes of law
- 5.1.3: Explain “rule of law”

Understanding Law

- The law is a set of rules of conduct or procedure established by customs, agreement or authority.
- Refers to the entire body of rules governing a community and enforced by a political authority.



Purposes of Law

Main **purposes of laws** are to

- maintain order
- establish standards
- resolve conflict
- protect individual rights and liberties

In a civil society, law is required to maintain order and to establish what personal behavior and business practices are right or wrong based on a society's values and circumstances.



Rule of Law

The United States Federal Courts defines the **rule of law** as a principle under which all persons, institutions, and entities are accountable to laws that are:

- Publicly promulgated
- Equally enforced
- Independently adjudicated
- And consistent with international human rights principles



Statutory and Common Law

Learning Outcomes: Statutory and Common Law

5.2: Differentiate between statutory and common law

- 5.2.1: Define statutory law
- 5.2.2: Define common law

Statutory Law

Statutory laws are passed by Congress and represent one of the primary sources of laws in the United States.

The Constitutions grants Congress the power to pass laws or statutes on any subject not prohibited in the Constitution.

A new statute usually begins as a "bill" with only about 7% of all bills becoming law. A bill must win a simple majority vote in the House and the Senate to advance. If the bill is approved by Congress, it is submitted to the President who signs it into law or vetoes it.

If the President vetoes the bill, a two-thirds majority vote in both the House and the Senate is required to override the veto.

Common Law

Common Law is based on the concept of **precedence**, which requires judges to decide based on prior rulings or, at minimum, consider the reasoning of prior judges when deciding a case with similar facts.

The constraints precedence imposes on a judge depend on court hierarchy. As outlined by the Indiana Court System, "When a decision is made by a higher court, the lower courts must follow it."

The upside of this doctrine of precedence is predictability.

Class Discussion: Precedent and Business

How does the role of precedent and *stare decisis* contribute to the business climate?

Tort Law

Learning Outcomes: Tort Law

5.3: Define tort law, and explain the role of product liability in tort law

- 5.3.1: Define tort law
- 5.3.2: Explain the concept of negligence as it relates to tort law
- 5.3.3: Explain the concept of strict liability under tort law
- 5.3.4: Explain the three major bases for product liability claims
- 5.3.5: Differentiate between compensatory and punitive damages

Understanding Tort Law

In common law jurisdictions, a **tort** is a violation of civil law that causes harm or injury to a person or property and an associated legal liability on the part of the person who commits a tortious act.

In tort law, it is the responsibility of the plaintiff to file a lawsuit to seek damages for the wrong.



Tort Law and Burden of Proof

Tort lawsuits have a lower burden of proof than criminal law. In a criminal case, the fault of the defendant must be proven beyond a reasonable doubt. However, in tort law, the plaintiff must only prove a **preponderance of the evidence** – that there is more than a 50 percent chance, given the evidence, that the plaintiff's claim is true.

Negligence and Tort Law

In tort law, **negligence** involves harm that arises from unintentional action. The standard used to determine negligence is that of a reasonable person under the circumstances. That is, the law assumes that individuals have a duty to behave as a reasonable person.



The Five Elements in a Negligence Case

In tort law, there are five elements to a negligence case.

1. **Duty of due care:** Could the defendant have foreseen that the plaintiff would have been harmed by their action?
2. **Breach:** Did the defendant fail to meet their duty of care?
3. **Factual causation:** Did the defendant's failure to meet their duty of care cause the harm?
4. **Proximate causation:** This element requires the plaintiff to prove that the defendant could reasonably foresee the general type of harm.
5. **Damage:** Proof of harm – can include emotional, economic, or reputational damages.

Strict Liability

Strict liability acknowledges that some products are inherently dangerous; thus strict liability is a significantly higher level of liability that applies when a tort or harm results from ultrahazardous activity or defective products.

In a strict liability case, elements of proof such as duty of due care, breach, and proximate causation are irrelevant.





Common Product Liability Claims

In pursuing a product liability case based on negligence, plaintiffs generally claim one of the following:

1. **Design defects:** buyer/plaintiff claims the manufacturer's design is inherently dangerous
2. **Manufacturing defects:** the defect is not the design, but rather a failure in the manufacturing and/or quality control process
3. **Failure-to-warn defects:** the plaintiff claims "failure to warn"; that is, the manufacturer failed to provide adequate instructions regarding the product's use or warn the buyer of potential danger of misuse

Product Liability Claims using Strict Liability

In a **strict liability** case, the buyer **does not need to prove that the manufacturer or seller's conduct was unreasonable**. The plaintiff only needs to demonstrate that the defendant manufactured or sold a product that was defective and that the defect caused him or her harm.

Three key points to note:

- The seller of a defective product is only subject to liability for harm if normally engaged in the business of selling this type of project.
- The defendant (manufacturer or seller) is liable only if the product is defective; that is, the product was defective when purchased by the consumer and the defect wasn't caused by a buyer's misuse of or substantial change to the product.
- In a strict liability case, "privity"—a contractual relationship—is not required. That is, a consumer can sue the manufacturer, distributor and retail store, even though privity only exists between the buyer and the entity that he or she actually purchased the product from.

Compensatory and Punitive Damages

The way a court remedies a wrong is by awarding monetary payment, referred to as “damages.”

Compensatory damages are intended to compensate for the wrong and restore the plaintiff to their pre-incident position. In setting compensatory damages, courts are governed by the recovery principle, paying a single lump sum that accounts for past and future expenses.

Punitive damages are awarded in extreme cases where behavior is considered to be so socially unacceptable that the court needs to make an example of the defendant. In these cases, the court generally awards significant punitive damages intended to punish the defendant and deter similar behavior in the future.

Practice Question 1

In a legal context, a tort is _____ that is generally remedied through payment of monetary damages.

A. a violation of criminal law

B. a violation of the social contract

C. a violation of civil law

D. a violation of common law

Practice Question 2

Negligence is a category of tort that involves:

A. The harm that arises from intentional action

B. Calculated or malicious intent

C. An error in judgement that causes no harm

D. The harm that arises from unintentional action

Practice Question 3

Strict liability is a _____ liability that applies when a tort or harm results from _____.

A. Significantly higher level of; ultrahazardous activity or defective products

B. Lower level of; common, everyday activity

C. Release from; end-user negligence

D. Release from; product misuse by an end-user

Intellectual Property

Learning Outcomes: Intellectual Property

5.4: Explain the purpose and characteristics of intellectual property law

- 5.4.1: Explain the purpose and characteristics of intellectual property law
- 5.4.2: Explain patents
- 5.4.3: Explain copyrights
- 5.4.4: Explain trademarks

Understanding Intellectual Property

Intellectual property (IP) is an idea— an intangible asset—and patents, copyrights and trademarks are statutory forms of IP. That is, types of intellectual property that meet the statutory criteria may be granted protection under the law. Be it physical or intangible property, the key to value creation is the ability to control access or use.



There are three main ways to protect intellectual property:

1. Patents
2. Trademarks
3. Copyrights

More on Intellectual Property Law

The purpose of intellectual property law is to create a framework that incentivizes value creation – specifically development of new ideas and inventions – while also providing for public access to the good or service.

According to Cornell University Law School, "intellectual property is any product of the human intellect that the law protects from unauthorized use by others."

Patents

A **patent** granted by the United States Patent and Trademark Office is generally in force for a 20-year term from the date of the filing of the patent application and is effective only within the United States and its territories.

A patent grants an inventor "the right to exclude others from making, using, offering for sale, or selling the invention in the United States or importing the invention into the United States"[3] for the patent term.

Three parent categories:

- **Design** patents are based on an article's appearance and prevent unauthorized use of a product design or design element
- **Utility** patents make up 90% of patents issued and protect how inventions work
- **Plant** patents represent less than 1% of patents issued in 2017.

Copyrights

Copyrights give its creator the exclusive right to their original work for a limited time and are issued by the Library of Congress.

A copyright gives an owner "the exclusive right to reproduce the copyrighted work, to prepare derivative works, to distribute copies or phono-records of the copyrighted work, to perform the copyrighted work publicly, or to display the copyrighted work publicly."[10]

Copyright Terms

Copyrights can now exceed 100 years. Some blame/credit the Walt Disney case regarding the Mickey Mouse copyright. As it currently stands, "the law automatically protects a work that is created and fixed in a tangible medium of expression on or after January 1, 1978, from the moment of its creation and gives it a term lasting for the author's life plus an additional 70 years."

Once a copyright expires, the work is referred to as being in the public domain; that is, the material can be used without obtaining permission or paying a fee. However, as a result of this change in duration, existing copyrights have effectively stopped passing into the public domain.

Trademarks

The USPTO defines a trademark as "a word, phrase, symbol, or design, or a combination thereof, that identifies and distinguishes the source of the goods of one party from those of others".

For a trademark / service mark to be registrable, it must be perceived as unique. According to the USPTO, the most common reason for a registration application to be denied is a "likelihood of confusion" with a registered or previously filed mark application. Three factors are considered:

- Visual appearance
- Sound
- Meaning (including meaning in translation)

The key question is whether a proposed mark "create[s] the same general commercial impression in the consuming public's mind."

Similar or even identical marks may be registerable as long as the goods and services of those marks are not related.

Warranties

Learning Outcomes: Warranties

5.5: Describe warranties

- 5.5.1: Define “warranty”
- 5.5.2: Explain express warranties
- 5.5.3: Explain implied warranties
- 5.5.4: Explain the warranties provided by the Uniform Commercial Code

Understanding Warranties

A **warranty** is a promise that goods sold will meet stated standards of performance. A contractual obligation (and associated legal liability) is created when a manufacturer or seller provides a warranty and a buyer relies on that warranty in making their purchase decision.

A warranty can be in writing or oral. The law can impose a warranty, requiring the manufacturer to meet certain standards of merchantability or fitness.

Types of warranties:

- Express Warranties
- Implied Warranties

Express Warranties

An **express warranty** is created based on a seller's words or actions (i.e. something that has been expressly stated).

According to Uniform Commercial Code 2-313, a seller can create an express warranty in three ways:

1. with an affirmation of fact or promise
2. with a description of the goods
3. with a sample or model

In all three cases, the code requires that seller's words or actions "become part of the basis of the bargain". Note, it is not necessary for a seller to use a term such as "warranty" or "guarantee" to create an express warranty.

Implied Warranties

Implied warranties are those created by the Uniform Commercial Code rather than a particular manufacturer or seller.

There are two categories of implied warranty

- **Warranty of Merchantability**: unless excluded or modified, a sales contract includes an implied warranty of merchantability defined as "fit for the ordinary purpose for which such goods are used". This warranty does not need to be stated or written down, it is an obligation imposed by the code.
- **Warranty of Fitness:** unless excluded or modified, the seller's knowledge of the particular use of the goods creates an implied warranty that the goods shall be fit for that purpose.

Contracts

Learning Outcomes: Contracts

5.6: List and describe the elements of a legally enforceable contract, and explain the consequences of a breach of contract

- 5.6.1: Define “contract”
- 5.6.2: Identify the four elements of a legally enforceable contract
- 5.6.3: Define “breach of contract”
- 5.6.4: Explain the legal remedies for a breach of contract

What is a Contract?

The Business Law and the Legal Environment authors define contract as "a legally enforceable agreement," noting that while we make a number of casual promises (e.g., "I'll call you later") and formal commitments in the course of a day, these agreements do not necessarily constitute a valid contract.

The details of what each party is committing to in a contract are referred to as covenants. As we will discuss in the next section, there are several elements to a valid—read: legally enforceable—contract.

Practice Question 4

The four elements of a legally enforceable contract are:

A. an offer & acceptance, consideration, capacity and legality
B. an offer, an acceptance and an exchange of value on the part of both parties
C. an offer, an acceptance and performance on the part of both parties
D. an offer and acceptance in writing and an exchange of value on the part of both parties

Elements of Legal Contracts

Four required elements to an enforceable contract:

1. **Offer & Acceptance:** one party proposes an agreement that includes specific terms. An offer can be accepted in writing, in person, over the phone or by performance that clearly communicates the accepting party agrees to the buyer's terms
2. **Consideration:** consideration is the exchange of value. Value can be an exchange of money for property or services or an exchange of property and/or services as long as both parties receive a measurable benefit.
3. **Legal Capacity:** The parties must be at least 18 years old and of sound mind. A minor who signs a contract has the right to cancel it. A person with mental illness or a disability or who is under the influence of drugs or alcohol or who signs under duress does not have the mental capacity to enter into a contract.
4. **Legality:** The contract must be for an activity that is legal.

If any one of these elements is missing, a contract may be voided, releasing the parties from any associated obligations.

Breaches of Contract

The University of New Mexico's Judicial Education Center defines **breach of contract** as "a failure, without legal excuse, to perform any promise that forms all or part of the contract. This includes failure to perform in a manner that meets the standards of the industry or the requirements of any express warranty or implied warranty, including the implied warranty of merchantability."[1]

When a breach is **material,** the nonbreaching party is released from performing their obligations under the contract. That is, the party is "discharged" and has the right to all remedies for breach of contract.

If the breach is **not material / immaterial**, the nonbreaching party is held to the contract but may sue for damages resulting from the breach. For example, a minor delay in receiving goods or services when time is not "of the essence" , the the buyer is required to pay for the goods or services as contracted and may sue to recover any damages caused by the delay.

Legal Remedies for Breaches of Contract

The method a court uses to compensate an injured party is referred to as a "remedy". Damages for breach of contract are based on three interests:

- **Expectation**: designed to put the plaintiff in the position they would have been in had the contract been fully executed
- **Reliance:** designed to put the plaintiff in the position they would have been in if the contract would have never been made
- **Restitution:** if an injured party cannot prove expectation or reliance damages, their final option is restitution. Restitution may arise in a situation where there is a *discharge of duties*.

Specific performance: when monetary damages are insufficient to compensate the plaintiff for the breach, a court can order **specific performance** which compels one party to perform, as nearly as practicable, their duties specified in the contract.

Practice Question 5

Which of the following best describes “breach of contract”?

A. an oral promise that is broken
B. a written promise that is broken
C. an expectation that isn’t met
D. a failure, without legal excuse, to perform any promise that forms all or part of a contract

Consumer Protection and Antitrust Laws

Learning Outcomes: Consumer Protection and Antitrust Laws

5.7: Summarize consumer protection and antitrust laws

- 5.7.1: Explain why consumer protection legislation is needed
- 5.7.2: Summarize several consumer protection laws
- 5.7.3: Explain the goal of antitrust legislation
- 5.7.4: Summarize the provisions of the Sherman Act
- 5.7.5: Summarize the provisions of the Federal Trade Commission Act
- 5.7.6: Summarize the provisions of the Clayton Act

Consumer Protection Law

A range of laws regulate consumer affairs with the aim to protect consumers from unscrupulous business practices or potentially dangerous products.

Consumer protection legislation includes statutes that address:

- Product Safety
- Consumer Credit
- Automotive Safety



Consumer Protection Legislation

Product Safety: The federal **Consumer Product Safety Act (CPSA)** established the Consumer Product Safety Commission and authorized the agency to develop and enforce standards, including the right to ban products. The federal **Food and Drug Act (FDA)** mandates regulation of food, drugs, cosmetics, biologics, medical products, and tobacco.

Consumer Credit: the federal **Fair Credit Reporting Act (FCRA)** promotes the accuracy, fairness, and privacy of information in the files of consumer reporting agencies. The act requires credit reporting agencies to allow consumers to review their credit on file and verify any information disputed by a consumer.

Automotive Safety: The Highway Safety Act established the **National Highway Traffic Safety Administration (NHTSA)**, an organization charged with "promoting vehicle safety innovations, addressing vehicle defects, setting safety standards for cars and trucks, and educating Americans to help them make safer choices when driving, riding, or walking."[4]

Goal of Antitrust Legislation

Antitrust legislation is a kind of consumer protection that aims to prevent unfair business practices that limit competition or control prices.

The goal of antitrust legislation is to create and maintain a competitive market that yields price, quality, choice and innovation benefits. The mission of the FTC and related agencies such as the U.S. Department of Justice (DOJ) Antitrust Division is to enforce the antitrust laws and, by extension, the rules of the competitive marketplace.

The three core federal antitrust laws are:

1. The Sherman Act
2. The Federal Trade Commission Act
3. The Clayton Act

The Sherman Act

The **Sherman Antitrust Act** of 1890 was the first federal act to outlaw monopolistic business practices.

The act authorized the federal government to dissolve trusts that concentrated ownership in the hands of a few trustees and effectively restrained trade or commerce.

A 1895 Supreme Court decision limited the extent of the law, ruling that the law prohibited only unreasonable restraints of trade.

The Federal Trade Commission Act

The **Federal Trade Commission Act** is a federal consumer protection statute that created the **Federal Trade Commission**, an agency charged with developing and enforcing standards for commerce.

The Commission has the authority to:

- Prevent unfair methods of competition and unfair or deceptive acts or practices in or affecting commerce
- Seek monetary redress and other relief for conduct injurious to consumers
- Prescribe rules defining with specificity acts or practices that are unfair or deceptive and establish requirements designed to prevent such acts or practices
- Gather and compile information and conduct investigations relating to the organization, business, practices, and management of entities engaged in commerce.

The Clayton Act

The **Clayton Antitrust Act** of 1914 was designed to clarify and strengthen the Sherman Act.

The FTC site notes that the Act "addresses specific practices that the Sherman Act does not clearly prohibit, such as mergers and interlocking directorates (that is, the same person making business decisions for competing companies)."[6]

In addition to banning price discrimination and anti-competitive mergers and acquisitions, the Clayton Act established the legality of strikes, boycotts and labor unions.[7]

Class Discussion: Antitrust and Consumer Protection

There always seems to be a proposed merger or acquisition in the news being scrutinized for its impact on consumers. While the merging companies promise lower costs and greater efficiency, consumer advocates warn about higher prices and poor service due to reduced competition.

Consider the following M & As. Do you think Anti-Trust and Consumer Protection regulations really work?

- Comcast and AT&T Broadband
- Facebook and Instagram
- Amazon and Whole Foods

Quick Review

- What is the meaning and purpose of law?
- What is the difference between statutory and common law?
- What is tort law? What is the role of product liability in tort law?
- What is the purpose and characteristics of intellectual property law?
- What are warranties?
- What are the elements of a legally enforceable contract and the consequences of breach of contract?
- What do consumer protection and antitrust laws do?